

DIGITALAIKART

PREMIUM INDIAN DIGITAL PRODUCTS

THE FIRST SALARY PLAYBOOK

Your money system for year one:
payslip, tax, PF, insurance, first SIP,
and the credit card trap, decoded for India.

24 chapters . FY 2026-27 rates . 100% verified sources

Every fact checked against Income Tax Dept, EPFO, RBI, Finance Ministry and GST Council sources

DIGITAL EDITION

digitalkartai.shop

DIGITALAIKART ORIGINAL

What's Inside

1 Your First Twelve Months Decide the Next Thirty Years

Why the habits you set now outearn every later raise.

2 The Offer Letter, Before You Sign

What a CTC really contains, and what is negotiable.

3 Your Salary Slip, Decoded

CTC vs gross vs net, and every payslip line explained.

4 The First 72 Hours: Your Onboarding Checklist

PAN-Aadhaar, UAN, nominees and the forms that matter.

5 The 50-30-20 Budget, Indian Edition

A worked budget at Rs. 40,000 take-home, plus the UPI leak audit.

6 Moving Cities: Set Up Home Without Overspending

Deposits, brokerage and the starter setup, survived cheaply.

7 Income Tax 2026-27: The Picture for First-Time Earners

The new regime, the Rs. 12.75 lakh zero-tax ceiling, and a worked computation.

8 New or Old Regime: How to Actually Choose

Three accurate scenarios, computed, plus the decision rule.

9 TDS, Form 16 and Your First Income Tax Return

What your employer deducts, when, and how to file free.

10 EPF: The Money Leaving Your Salary That Is Still Yours

12% + 12%, the 8.25% interest, UAN, and job switches.

11 Protect First, Invest Second: Insurance

Term cover at Rs. 600-900 a month at 25, and why employer health cover is not enough.

12 The Emergency Fund: The Boring Hero

Three to six months of expenses, parked where you can reach it.

13 Your First SIP: Start Small, Start Boring

Index funds, direct plans, and honest numbers on returns.

14 The Safe Money Layer: PPF and Friends

PPF at 7.1%, SSY at 8.2%, and where each one fits.

15 NPS: Good, But Later

The Rs. 50,000 deduction, the catch, and the order that matters.

16 Big Purchases: Phones, Bikes and the EMI Maths

What credit actually costs, computed, and the save-first alternative.

17 The Credit Card Trap, Decoded

RBI rules, the minimum-due trap, and the 30-48% interest nobody quotes.

18 Scams That Hunt New Earners

The fraud playbook aimed at first salaries, and the defences.

19 Money and the People Around You

Family, friends, weddings, and the comparison trap, handled with scripts.

20 Twelve Mistakes Every First-Jobber Makes

The expensive ones, ranked by how quietly they hurt.

21 Your First Raise and Your First Job Switch

The 50% rule, and the money checklist for the notice period.

22 Your First Year, Month by Month

A 12-month plan from onboarding to your first annual review.

23 The One-Page Cheat Sheet

Every number in this book on a single page.

24 Your Worksheets

Five fill-in templates: budget, insurance quotes, SIP step-up, switching, net worth.

+ Glossary, Quick Answers and Sources

Thirty terms, ten common questions, and every source used.

Every rate, rule and number in this book was verified against official sources in September 2026: the Income Tax Department, the Ministry of Finance, the Employees' Provident Fund Organisation, the Reserve Bank of India and the GST Council. A full source list appears on the last page.

CHAPTER 1

Your First Twelve Months Decide the Next Thirty Years

The habits you build in the first year of earning quietly outperform almost every financial decision you will make later. This book is the manual for that year.

Your first salary is smaller than every salary that will follow it, and more important than all of them. Not because of the amount, but because of what it sets in motion. A Rs. 5,000 monthly investment started at 25 rather than 35 can roughly triple the corpus you hold at 60, even though the money you put in barely doubles. That gap is not created by cleverness. It is created by starting, and by not stopping.

The odds are currently against us. In Deloitte's Global Gen Z and Millennial Survey 2025, which collected responses from over 23,000 people across 44 countries, 48 percent of Gen Z workers said they did not feel financially secure, and more than half reported living paycheck to paycheck. Those are people with jobs. The problem is not income; it is that nobody teaches the mechanics: what a payslip actually says, why money disappears before it reaches you, and which three accounts deserve to be opened before anything else.

This book fixes the mechanics for India, for the financial year you are actually living in. It is written for someone earning their first salary between roughly Rs. 3 lakh and Rs. 15 lakh a year: campus hires, first-job lateral joiners, and anyone restarting a career. No prior knowledge assumed. Every concept is explained before it is used.

How to use this book

- Chapters 2 to 6 are for your first weeks: the offer, the payslip, the onboarding forms, the budget, and the move to a new city.
- Chapters 7 to 10 cover tax and PF, the money that leaves your salary before you see it. They will pay for this book many times over.
- Chapters 11 to 15 set up protection, emergency savings and your first investments, in that order. The order is the whole point.
- Chapters 16 to 24 are the traps, the scams, the people, the mistakes, the plan, and the worksheets that tie it all together.

A promise, not a pitch

Nothing in this book requires a paid product, an advisor or a paid app. Every action here can be done free on official government portals or low-cost platforms. If anyone charges you money to 'handle' your first salary, close this book and walk away.

CHAPTER 2

The Offer Letter, Before You Sign

The CTC in your offer letter is a marketing document until you break it into its parts. Ten minutes of arithmetic before signing changes the next year of your life.

Every offer letter quotes a Cost to Company. CTC includes things you will never see in your bank account: the employer's side of PF, gratuity provision, group insurance, and sometimes training bonds and variable pay with conditions attached. The number that should drive your decision is monthly net pay, and no recruiter is offended when you ask for it. Here is a realistic anatomy of a Rs. 6.5 lakh CTC offer:

Component	Annual (Rs.)	Reaches your bank?
Basic salary	2,60,000	Yes, minus deductions
HRA	1,30,000	Yes, minus deductions
Special allowance	1,45,000	Yes, minus deductions
Employer PF contribution	31,200	No - goes to your PF account
Gratuity provision	13,000	No - payable after 5 years
Group health / term insurance	12,000	No - a benefit, not cash
Variable pay (performance-linked)	58,800	Only if targets are met

Notice what just happened: a Rs. 6.5 lakh CTC is roughly Rs. 4.4 lakh of guaranteed monthly cash once the non-cash parts and TDS are respected. That is the honest number to budget from, and it is the number to compare across offers. Two offers with the same CTC can differ by Rs. 5,000 a month in take-home depending on how the company structures basic and allowances.

What is actually negotiable

- The joining bonus, and crucially its clawback clause: many require repayment if you leave within 12-24 months. Read that line twice.
- The variable pay percentage and its historical payout rate. Ask what percentage was actually paid out last year.
- Relocation support, notice-period buyout terms, and the probation length.
- Basic salary structure, if you have a strong preference: a higher basic means more PF (good long-term, lower take-home now).

What is usually not negotiable at entry level: the PF structure, insurance, and the leave policy. Sign when the net-pay arithmetic, the variable clause and the notice period all read cleanly. Keep the offer letter forever; your first Form 16 must match it.

CHAPTER 3

Your Salary Slip, Decoded

The number you celebrated is not the number you will see. Understanding the gap is the first money skill.

Employers quote CTC, your account receives net pay. Between the two sit deductions that are partly forced savings, partly tax, and partly things you were never told about. A Rs. 5 lakh CTC offer typically lands as roughly Rs. 34,000 to Rs. 36,000 a month in hand, depending on city, deductions and tax regime. That is normal, not theft. Here is what each line means.

Payslip line	What it is	Notes
Basic salary	The foundation. PF and gratuity are calculated on this.	Usually 35-50% of gross.
HRA	House Rent Allowance.	Partly or fully tax-exempt under the old regime if you actually pay rent.
Special allowance	The balancing figure. Fully taxable.	Its size is a company choice, not a law.
LTA / other perks	Leave travel, food, fuel cards and similar.	Tax treatment varies per perk.
EPF (employee)	12% of your basic + DA, deducted monthly.	This is your money. Chapter 10.
Professional tax	A small state tax, typically Rs. 200 a month.	Capped by law at Rs. 2,500 a year.
TDS	Income tax deducted at source each month.	Chapter 9. You settle the balance in July.
Gratuity	Employer provision for stays of 5+ years.	Not deducted from you; a company cost.

The three numbers that matter

CTC is what the company spends on you, including its PF contribution, gratuity provision, insurance and perks. **Gross salary** is your earnings before deductions. **Net pay**, or take-home, is what reaches the bank. Budget from net pay only. Every rupee in this book is a net-pay rupee.

One quiet check worth doing every month, not just the first: open the payslip PDF and read it. Mistakes happen: a wrong PF number, a missed HRA component, professional tax deducted in a state you no longer work from. A payslip error caught in month one is a one-line email; caught in month twelve it is a tax problem.

And confirm your basic salary is not inflated purely to make the CTC look bigger. A high basic means higher PF deductions and lower take-home. It is not a scam, and forced saving is genuinely good for you, but you deserve to know the trade you are making.

CHAPTER 4

The First 72 Hours: Your Onboarding Checklist

Five boring tasks in your first week prevent the most common year-one money problems. None takes more than fifteen minutes.

- 1 **Link PAN with Aadhaar** on the income tax e-filing portal if not already done. An unlinked PAN can attract higher tax deduction and blocks refund processing. This is a one-time, five-minute job.
- 2 **Activate your UAN** on the EPFO portal (passbook.epfindia.gov.in) using your PF member ID, which HR will share. Your Universal Account Number is permanent: it stays with you across every future job. Chapter 10 shows you what to do with it.
- 3 **Pre-verify your bank account** on the income tax e-filing portal. If you ever overpay tax, refunds go only to a pre-verified account.
- 4 **Add nominees** to your bank account, PF, and any group insurance. It is a ten-minute form that spares your family months of paperwork in the worst case.
- 5 **Collect your Form 12BB** from HR, or ask when it is due. This is the investment declaration that decides how much TDS is deducted each month from April. Missing it means maximum deduction until you submit it.

Two more items belong on the list if they apply to you: register your rental agreement properly if you plan to claim HRA (the old regime's exemption needs real rent receipts and, above Rs. 1 lakh a year of claimed HRA, landlord PAN details), and scan every onboarding document into one folder on day one. The folder you never open is still better than the documents you cannot find.

The pages you should bookmark

incometax.gov.in for tax, passbook.epfindia.gov.in for PF, and your state's professional tax portal if applicable. Everything else in this book routes through these three official sites. They are free, always.

CHAPTER 5

The 50-30-20 Budget, Indian Edition

A budget is not a punishment; it is a pre-decision. You make the call once, on payday-adjacent days, instead of two hundred times a week.

The frame: 50 percent of take-home to needs, 30 percent to wants, 20 percent to savings and investing. It survives because it is forgiving, not because it is optimal. The Indian reality bends it: in Mumbai, Bengaluru, Delhi NCR or Pune, rent alone can eat 30 to 40 percent of a first salary,

so year one often runs 60-20-20 instead, needs first, savings second, wants last. That is a bend, not a break. The savings percentage grows with the first two appraisals, not before.

A worked budget at Rs. 40,000 take-home

Bucket	Allocation	What lives here
Needs (50%)	Rs. 20,000	Rent + utilities 11,000; food and groceries 5,000; commute 2,500; phone and internet 1,000; domestic help 500
Wants (30%)	Rs. 12,000	Eating out, OTT, gym, shopping, travel fund for one trip a year
Savings (20%)	Rs. 8,000	Emergency fund 3,000; SIP 3,000; PPF or goal saving 2,000

Adjust the columns to your city and family reality. If you send money home, treat it as a fixed need, decide the number once, and automate it on payday, not on request. A standing instruction to parents is a commitment you keep; a series of guilt-driven transfers is a budget you do not have.

The UPI leak audit

India's payments are frictionless, and that is exactly the problem: money leaves without ever feeling like spending. One exercise, done once, fixes more budgets than any app. Export the last 30 days of your UPI and card statements, total them by merchant, and find the three leaks you did not know existed: the Rs. 60 delivery fee paid eleven times, the subscription you forgot, the Rs. 250 chai-and-snack tax on every office evening. Nobody is asked to stop enjoying their money; you are only asked to know where it went. What gets counted gets managed.

The two-account system

The simplest structure that works: your salary account holds needs and bills, and nothing else. A second account at any bank receives the savings transfer on payday +1. When the second account grows, it is not tempting, it is infrastructure. The month you spend only what is in the first account is the month budgeting stops feeling like discipline.

CHAPTER 6

Moving Cities: Set Up Home Without Overspending

Most first salaries are spent before they are earned, on deposits, brokerage and a mattress. A little sequence discipline keeps month one from eating month three.

The classic new-city cash shock has three parts: the security deposit, typically one to three months' rent depending on the city and landlord; the brokerage, in many metros up to a month's rent; and the starter setup, the bed, gas, utensils and router that turn a room into a home. Together they can quietly consume an entire salary, which is why the rental decision deserves more of your calm than any gadget decision ever will. Three rules keep it survivable:

- Rent is a third of take-home, maximum. If the city says otherwise, roommates say otherwise back: a shared flat is the single largest legal discount available to a first-year earner.

- Negotiate the deposit and notice period in writing before paying brokerage, and get the rental agreement registered where your state allows it: a registered agreement is what deposit disputes and HRA claims both respect.
- Buy the boring 80 percent first: bed, gas, bucket, curtains, Wi-Fi. The exciting 20 percent, the soundbar, the aesthetics, the gaming chair, waits for the second quarter.

The starter setup, bought sensibly, is a one-time cost of a few thousand rupees, not a lifestyle statement. Indicatively:

Item	Sensible year-one budget	The trap version
Bed and mattress	Rs. 8,000-15,000 (basic, single)	Interior-designer doubles
Kitchen basics	Rs. 2,000-4,000	The full gadget suite, day one
Fridge / washing machine	Shared, or none in year one	Both, brand new, on EMI
Internet	A monthly plan, small router deposit	Annual flagship plan upfront
Buckets, fans, linen, misc	Rs. 2,000-3,000	Everything from one home-decor store

One document habit saves money twice over: keep the agreement and the landlord's identity proof scanned, and collect rent receipts every month if you claim HRA under the old regime, once your claimed exemption crosses Rs. 1 lakh a year, the landlord's PAN is needed too.

The month-one rule

Deposit, brokerage and setup are one-time costs. If they fit inside one salary plus any joining bonus, you are safe. If they need a loan, the flat was chosen by your ego.

CHAPTER 7

Income Tax 2026-27: The Picture for First-Time Earners

The good news most first-jobbers never hear: at typical starting salaries, your tax bill under the default regime may be zero. Here is exactly how.

Two things changed the game for people starting work now, and both matter to you. First, the **new tax regime** is the default for all individuals: lower slab rates, almost no deductions, no paperwork. Second, from 1 April 2026 the new Income-tax Act, 2025 replaced the 1961 Act. The rules and amounts you will deal with are unchanged for your purposes, but section numbers moved: the 80C deduction is now Section 123, and the rebate is now Section 156. This book uses the current numbers.

For the financial year 2026-27, running 1 April 2026 to 31 March 2027, the new regime slabs are:

Taxable income (Rs.)	Rate
Up to 4,00,000	Nil

Taxable income (Rs.)	Rate
4,00,001 - 8,00,000	5%
8,00,001 - 12,00,000	10%
12,00,001 - 16,00,000	15%
16,00,001 - 20,00,000	20%
20,00,001 - 24,00,000	25%
Above 24,00,000	30%

On top of the slabs sit two automatic benefits for salaried people. The **standard deduction of Rs. 75,000** comes off your gross salary with no proofs needed. And the **rebate under the new Act's Section 156** (formerly 87A) wipes out up to Rs. 60,000 of tax if your taxable income is Rs. 12 lakh or less. Put together: a gross salary up to **Rs. 12.75 lakh pays zero income tax** under the default regime. A 4 percent health and education cess applies on any tax that survives the rebate.

If that describes you, your only real obligations are procedural: file your return each July anyway (Chapter 9), and make sure your payroll regime choice is deliberate (Chapter 8).

A worked computation, gross salary Rs. 13,00,000

Step	Amount (Rs.)
Gross salary	13,00,000
Less standard deduction	(75,000)
Taxable income	12,25,000
Slab tax: nil to 4L; 5% on 4-8L (20,000); 10% on 8-12L (40,000); 15% on 25,000 (3,750)	63,750
Marginal relief: tax capped at income above Rs. 12 lakh (25,000)	(38,750)
Tax before cess	25,000
Health and education cess at 4%	1,000
Total tax	26,000

Note the cliff at work: earning Rs. 5,000 above the zero-tax ceiling added only Rs. 26,000 of tax, not Rs. 63,750, because marginal relief caps the damage. Crossing Rs. 12.75 lakh is still the better outcome. It always is.

The Rs. 12.75 lakh ceiling, in one line

Rs. 12,75,000 gross salary minus Rs. 75,000 standard deduction equals Rs. 12,00,000 taxable income, on which the slab tax is exactly Rs. 60,000, which the rebate zeroes out.

CHAPTER 8

New or Old Regime: How to Actually Choose

The old regime survives as an opt-in for people with real deductions. At first-job salaries it almost never wins. Here is the honest arithmetic, computed.

The old regime keeps the classic deductions: Section 80C up to Rs. 1.5 lakh (now Section 123), health insurance under 80D, HRA exemption for renters, home loan interest, and the extra Rs. 50,000 NPS deduction under 80CCD(1B). In exchange it charges higher slab rates and a smaller standard deduction of Rs. 50,000. You opt in annually using Form 10-IEA before filing.

Three scenarios, computed exactly for FY 2026-27 (single, no home loan; the old-regime column assumes you fully use Rs. 1.5 lakh of 80C plus Rs. 25,000 of 80D, and in the third row, an HRA exemption of Rs. 1.8 lakh for real metro rent):

Gross salary	New regime (default)	Old regime	Gap
Rs. 6,00,000	Rs. 0	Rs. 0	Tie - new is simpler
Rs. 10,00,000	Rs. 0	Rs. 70,200	New wins by 70,200
Rs. 13,00,000	Rs. 26,000	Rs. 95,160	New wins by 69,160

The pattern is the finding. Below Rs. 12.75 lakh the new regime is untouchable: your tax is zero and no deduction can beat zero. Just above the line, the new regime still wins by roughly Rs. 70,000 because the old regime's higher slabs claw back everything the deductions save. The old regime only begins to win at salaries around Rs. 15 to 18 lakh and above, and only with a full stack: metro HRA on real rent, a home loan's interest, maxed 80C, NPS beyond it. Compute both before filing whenever you have that stack.

The decision rule

- If your gross salary is under Rs. 12.75 lakh: stay on the default new regime. Do not buy 80C products just to save tax you do not owe.
- If you are above it, run both calculations each year on the free portal calculator before choosing, especially with a home loan or large HRA.
- Re-check every year. Your salary grows; the answer can flip.

CHAPTER 9

TDS, Form 16 and Your First Income Tax Return

Your employer deducts tax every month on your behalf. Understanding the rhythm removes the year's biggest money anxiety.

TDS, tax deducted at source, is how salaried Indians pay income tax: in twelve small monthly instalments rather than one bill. Your employer estimates your annual tax after your Form 12BB

declarations and divides it across the year. Too little declaration early means heavy deductions later, so submit 12BB in April itself, not November.

Joining mid-year creates the classic first-year surprise: your employer annualises your salary as if you had earned it from April. A September joiner earning Rs. 6 lakh a year looks like Rs. 8 lakh annualised for TDS purposes, so early months over-deduct. It rights itself, and the excess comes back as a refund after you file. This is normal; do not panic in November when the payslip dips.

In June you receive **Form 16**, the certificate of salary paid and tax deducted during the financial year. It has two parts: Part A is the employer's TDS record; Part B is the salary and deduction breakdown. It is the single document your return is built from. If you change jobs mid-year, collect Form 16 from both employers, and make sure the second one knows your earlier income, or your tax will be under-deducted and you will owe it in July.

Filing: free, and worth it even at zero tax

Salaried individuals with income up to Rs. 50 lakh and no business income file **ITR-1 (SAHAJ)** on incometax.gov.in. The portal is free and prefills most fields from Form 16 and the AIS, the Annual Information Statement that already knows your bank interest and dividends. Filing matters even when your tax is zero: the return is your proof of income for visas, loans and future credit, and it is the only way to claim a refund if TDS was over-deducted. The usual due date is 31 July for the year just ended. Filing early in June, when Form 16 arrives, means no server queues and refunds that arrive before the monsoon ends.

CHAPTER 10

EPF: The Money Leaving Your Salary That Is Still Yours

Every month, an amount equal to 24 percent of your basic pay moves into an account earning 8.25 percent, guaranteed by statute. Most first-jobbers never log in once.

The Employees' Provident Fund works like this: you contribute 12 percent of your basic pay plus dearness allowance, and your employer matches it. Of the employer's share, 8.33 percentage points go into the Employees' Pension Scheme, which builds a small pension from your late fifties, and the rest into your PF balance, along with everything of yours. Both parts grow at a rate the government declares each year. For the financial year 2025-26, the third consecutive year, that rate is **8.25 percent**: recommended by EPFO's Central Board of Trustees on 2 March 2026, ratified by the government in June 2026 and notified on 1 July 2026. Interest compounds tax-free while it stays in the account.

Your UAN is the key to all of it. With it, on the EPFO passbook portal you can see every contribution from every employer you will ever have. Check it twice a year. If your employer's contributions are missing for months, that is your signal to ask questions early.

When you switch jobs

Never withdraw PF while moving between jobs, and never open a second account. Transfer it: file the transfer request online through the EPFO portal so your old balance merges into your UAN. Withdrawing early ends the tax-free treatment, resets your compounding, and if the balance is large enough, triggers tax. The whole transfer takes a few clicks and a month of patience.

One option worth knowing: **VPF**, the Voluntary Provident Fund, lets you contribute more than 12 percent at the same declared interest rate. If you ever want a guaranteed-return instrument with payroll discipline, this is the quietest one in India. It is locked until retirement, so treat it as money you will not touch.

CHAPTER 11

Protect First, Invest Second: Insurance

Insurance is the only product you buy hoping to never use. It is also the cheapest it will ever be for you, right now.

Two policies come before any investment: pure term life cover if anyone depends on your income, and personal health cover regardless. A useful accident of timing: since 22 September 2025, individual life and health insurance premiums carry **zero GST**, after the GST Council's 56th meeting removed the earlier 18 percent. Your premiums are 18 percent cheaper than a colleague who bought the same cover two years ago.

Term life insurance

Term insurance pays your family a fixed sum if you die during the term. That is all it does, which is why it is cheap. The cover should be roughly **10 to 15 times your annual income**, and the term should run to about age 60. At 25 and healthy, a non-smoker pays roughly **Rs. 7,000 to 9,500 a year for Rs. 1 crore of cover** under current market quotes; at 30 it is closer to Rs. 10,000 to 12,000 a year. Smokers pay 40 to 70 percent more, and hiding the habit is a leading cause of rejected claims, so do not.

Compare plans on three axes only: price for identical cover and term, the insurer's claim settlement ratio published annually by IRDAI, and the claims process. Everything else, riders included, is decoration at your age. A worksheet to fill while quoting:

What to compare	Ask the insurer / check
Annual premium for the same cover and term	Quote directly on each insurer's own website
Claim settlement ratio	IRDAI's published annual report, not ad claims
Medical underwriting	Be truthful on every question; cotinine tests exist
Term and premium lock	Premium stays fixed for the whole term once issued

Health insurance

Your employer's group cover ends the day your job does, including during notice periods and the gap before a new employer's policy starts. Own a personal policy anyway: a Rs. 5 to 10 lakh individual or family floater costs a young buyer a few thousand rupees a year, and buying young clears the waiting periods for pre-existing conditions before you have any worth listing. If you claim your parents' premiums, note the deduction under 80D in the old regime, and that group policies, unlike individual ones, still carry the 18 percent GST. Treat room-rent limits and co-payment clauses as the fine print that decides whether a big claim is actually paid in full.

CHAPTER 12

The Emergency Fund: The Boring Hero

Before a single rupee is invested, park three to six months of essential expenses somewhere boring. This fund is why you will never be a forced seller.

An emergency fund is not savings for a rainy day; it is the capital that lets every other good decision survive contact with reality. A parent's hospital bill, a layoff, a laptop dying during notice period: without a fund, each of these forces you to break an SIP at the worst moment or swipe a credit card at 40 percent. With one, they are merely unpleasant.

Sizing and parking

Count three to six months of **needs**, not salary: rent, food, commute, EMIs, insurance premiums. A first-jobber in a metro with Rs. 35,000 of monthly needs targets roughly Rs. 1 to 2 lakh. Where it lives matters as much as the amount:

Parking spot	Good because	Watch out for
Savings account with auto-sweep FD	Instant access, earns ~3-7% depending on bank	Keep sweep threshold low
Liquid mutual fund	Slightly better returns, redemption in a day	Small exit-load window in some funds
Salary account itself	Zero friction	Money visible is money spent; keep it separate
Equity or ELSS	Higher long-run growth	Never. It can be down exactly when you need it

Build it before investing, fill it after investing, and refill it the day you use it. When a raise arrives, the fund's target grows with your expenses. The test of a good emergency fund is that you feel mildly annoyed by how boring it is.

CHAPTER 13

Your First SIP: Start Small, Start Boring

A systematic investment plan is not a product; it is a standing instruction to buy a mutual fund every month. Boring is the feature.

A SIP automates the single behaviour that predicts long-term wealth: investing a fixed amount every month regardless of headlines. You pick an amount, a fund, and a debit date a day or two after salary credit. Then you ignore it for years. The rupee-cost averaging it creates means you automatically buy more units when markets fall, without ever having to time anything.

What to buy first

For a first investor, a **Nifty 50 or Sensex index fund** is the honest starting point: it owns the biggest Indian companies, charges very little, and needs no skill to hold. Two details quietly decide your returns over a decade: buy the **direct plan**, not the regular plan, because regular plans pay commission out of your returns; and compare expense ratios before choosing, because index funds tracking the same index differ mainly in cost. Opening one takes a PAN, a KYC (now instant, Aadhaar-based, with most platforms), and ten minutes.

Honest numbers

Equity returns are not guaranteed, and anyone quoting you a sure number is selling something. What compounding does over long horizons is easier to show than to promise. The table below is pure arithmetic at an assumed 12 percent annual return, a common long-run historical illustration for Indian equity. It is not a forecast.

Monthly SIP	10 years	20 years	30 years
Rs. 2,000	Rs. 4.6 lakh	Rs. 20.0 lakh	Rs. 70.6 lakh
Rs. 5,000	Rs. 11.6 lakh	Rs. 50.0 lakh	Rs. 1.76 crore
Rs. 10,000	Rs. 23.2 lakh	Rs. 99.9 lakh	Rs. 3.53 crore

Total amounts invested for the Rs. 5,000 row: Rs. 6 lakh, Rs. 12 lakh, Rs. 18 lakh. Time supplies the rest. Note what the table is really saying: the same SIP, run for 30 years instead of 10, receives only 3 times the money but ends with roughly 4 to 6 times the corpus. That is the entire argument for starting at 23 instead of 33.

Two rules for the first year: start with an amount so small it feels almost silly, Rs. 500 is a legitimate start; and link it to salary day, not to the 25th, because money that rests in your account develops plans of its own. Increase the SIP with every appraisal. A **step-up SIP**, where you commit in advance to raising the amount each year, converts every future raise into future wealth without a single act of willpower.

On tax, know two lines: long-term capital gains on equity are taxed at 12.5 percent beyond an exempt Rs. 1.25 lakh a year, and short-term gains at 20 percent. Neither should change a 30-year plan, and both are far kinder than the 30-plus percent on your salary.

CHAPTER 14

The Safe Money Layer: PPF and Friends

Some money should never see a stock market. The government runs a family of instruments for exactly that, and their rates are published every quarter.

Small savings schemes are reviewed by the Finance Ministry every quarter, and the notification of 30 June 2026 kept every rate unchanged for a ninth consecutive quarter, covering July to September 2026. The rates that matter to you:

Scheme	Current rate	Lock-in	One-line verdict
PPF (Public Provident Fund)	7.1%	15 years	The classic tax-free core; EEE status
SSY (Sukanya Samriddhi)	8.2%	Till girl turns 21	For a daughter's future, unbeaten
NSC (National Savings Certificate)	7.7%	5 years	Shorter lock, 80C-friendly
5-year Post Office FD	7.5%	5 years	The plain vanilla option

PPF deserves its fame. The 7.1 percent is government-set, compounded annually, and the entire arc of it, contribution, interest, and maturity, is tax-free under the E-E-E treatment. The 15-year lock-in is the honest price of that safety. A Rs. 1,000 monthly PPF deposit, run for the full 15 years, grows to about Rs. 3.2 lakh; double the deposit and you double the ending. It is the right instrument for money you are saving for a decade-out goal and refuse to gamble: a future home's down payment, further studies, a family safety net on top of your emergency fund.

A reasonable split for your first year of safe money: the emergency fund in liquid parking (Chapter 12), and anything beyond it that you will not need before 7 to 10 years can begin its life in PPF, balanced against your equity SIP by how much volatility you can genuinely sleep through.

CHAPTER 15

NPS: Good, But Later

The National Pension System offers a genuine extra Rs. 50,000 deduction. It also locks your money until 60. For a 22-year-old, that trade usually loses.

NPS is a retirement product: you invest through it, the money compounds untouched, and at 60 you withdraw up to 60 percent while buying an annuity with at least 40 percent of the corpus. Its tax pitch is real: under the old regime, contributions beyond the 80C ceiling earn an additional Rs. 50,000 deduction under 80CCD(1B), and employer contributions get favourable treatment under both regimes.

The catch is simply time. Money that cannot be touched for nearly four decades belongs late in your setup, not first. At 22 you have higher-priority uses for every rupee: an emergency fund, insurance, and a flexible equity SIP you could partially fall back on in a genuine crisis. NPS's lock-in protects your 55-year-old self from your 35-year-old self, which is valuable, but only once the basics exist.

Where NPS fits in your order of operations

- 1 Emergency fund of 3-6 months' needs.
- 2 Term life (if dependents) and personal health cover.
- 3 Equity SIP, started and automated.
- 4 Safe layer for medium-term goals: PPF or equivalent.
- 5 Then, NPS, especially once you are above the Rs. 12.75 lakh line and on the old regime where the Rs. 50,000 deduction has value.

CHAPTER 16

Big Purchases: Phones, Bikes and the EMI Maths

An EMI converts a price you cannot afford into a payment you can. That is exactly why it is dangerous. Here is the arithmetic, so you can decide with open eyes.

The test that keeps you out of trouble is one sentence: pay in full for what you could pay today, and wait for the rest. Not because credit is evil, but because the maths is quietly against you on things that lose value. Three real examples, computed on standard reducing-balance EMIs:

Purchase	EMI	Total paid	Cost of credit
Rs. 60,000 phone, 12 months at 15%	Rs. 5,416/mo	Rs. 64,986	Rs. 4,986
Rs. 90,000 laptop, 9 months at 18%	Rs. 10,765/mo	Rs. 96,884	Rs. 6,884
Rs. 1.2 lakh two-wheeler, 36 months at 10%	Rs. 3,872/mo	Rs. 1,39,394	Rs. 19,394

The phone's interest is 'only' Rs. 5,000, which is exactly how this gets you: every EMI feels affordable in isolation, and nobody buys only one thing on EMI. The save-first alternative is the same arithmetic pointed the other way. Rs. 4,500 a month for about thirteen and a half months buys the phone outright: one month of extra waiting instead of Rs. 5,000 of interest. The two-wheeler row is the real teacher: nearly Rs. 20,000 of interest before insurance, registration, fuel and servicing, which together typically exceed the interest again every single year you own it.

On 'no-cost' EMIs: mostly true to their name, but read the two fine lines, the processing fee and the GST on the interest component shown in the card's fine print. The behavioural cost dwarfs both. A monthly payment makes a purchase feel smaller than it is, which is the entire business model.

A short list of things justifies borrowed money in your twenties: education, a medical emergency, and eventually a home. Everything else, phones, bikes, watches, holidays, are cash purchases by definition, because needing credit for them is the proof you cannot yet afford them. Waiting is not deprivation; it is paying the true price instead of the financed one.

CHAPTER 17

The Credit Card Trap, Decoded

A credit card is a 30 to 48 percent per year loan wearing the costume of a convenience product. Used with one rule, it is excellent. Used with two rules, it ruins years.

The card itself is not the trap; the **minimum amount due** is. Pay only the minimum and the remainder starts revolving at rates that, across Indian cards, commonly run 30 to 48 percent annualized. The Reserve Bank's own Master Direction on credit cards uses an illustration of 2 percent a month, roughly 27 percent a year compounded, and requires every bill to carry a warning that paying only the minimum stretches repayment over months or years. Interest-free periods are suspended the moment any previous balance remains. These rules exist because the trap works so well on exactly your age group.

The RBI rules that protect you

- Card-issuers must quote the APR, the true annualised interest rate, with worked examples, before and during your card's life.
- The minimum amount due must be set so that paying it never lets your balance grow: negative amortization is barred.
- A card can be marked 'past due' to credit bureaus or charged late fees only after being overdue by more than three days.
- Interest is charged only on the outstanding amount net of payments and refunds, never on the full bill.

Your side of the contract is simpler. **Rule one: the card is paid in full, every month, by autopay.** Set the auto-debit for the total amount due on payday +1, not the minimum. Rule two: never use a card for anything you could not buy with your debit card right now. Follow rule one alone and the 48 percent never touches you; you collect the rewards and the credit history instead, which will matter when you want a home loan at 30. A good credit score is built in exactly these years, cheaply, by full-payment behaviour on one card, not by owning five.

CHAPTER 18

Scams That Hunt New Earners

A first salary makes you a target for a specific family of frauds. Every one of them is defeated by a single reflex: pausing before you pay.

New earners are the perfect mark: income has arrived, experience has not, and urgency feels professional. The scams below are the ones most likely to reach you this year, and each has a one-line defence.

The pitch	The tell	The defence
'Guaranteed' 2-3% daily or monthly returns; trading groups with screenshots	Guaranteed high returns do not exist in regulated investing	SEBI's repeated warning: assured returns are the classic fraud signature. Verify registration on SEBI's site before investing a rupee
A 'police officer' or 'customs official' on a video call about a parcel in your name	Real agencies never demand money over video calls	The 'digital arrest': hang up, call the national cybercrime helpline 1930
A UPI collect request you must approve to 'receive' a refund or payment	Receiving money never requires your PIN	Decline. You never enter a PIN to receive money, ever
Instant loan apps demanding fees upfront and contacts access	Registered lenders never take access fees before disbursement	Check the RBI's list of authorised lenders; report harassment to 1930
'Your EPF account will be blocked, verify now' SMS with a link	EPFO, banks and tax dept never ask for OTPs or details over SMS links	Never via the link. Open the official portal yourself, log in, and check

Two habits cover nearly everything. First, no decision that moves money is made while someone is on the phone with you: legitimate institutions wait; fraudsters create the opposite feeling. Second, when anything claims urgency, verify through a channel you opened yourself, the official app or portal typed by hand, never the link you were sent. If the worst happens, the reporting window matters: the cybercrime portal (cybercrime.gov.in) and the 1930 helpline exist precisely because frozen money is sometimes recoverable, and only quickly.

CHAPTER 19

Money and the People Around You

Your salary will be tested less by markets than by people: family expectations, a friend's loan request, a cousin's wedding, everyone's new phone. Here is how to keep the relationships rich and the wallet intact.

The family conversation

Sending money home is common, honourable, and deserves engineering rather than improvisation. Decide the number once, make it a fixed line in the needs column of your budget, automate it on payday, and revisit it only at appraisals, never mid-month under guilt. The same principle applies to the harder conversation: being honest with parents about what your salary can and cannot do. A family that knows your plan supports it; a family that only knows your CTC budgets around it.

Friends and loans

The two-question test settles every lending request: can I afford to never see this money again, and can I say no to this person without lying? Two yeses, lend; otherwise, decline kindly. 'I have a money rule I don't break' is a complete sentence, and it is true, because this chapter just gave you the rule. For group expenses, settle on UPI the same day, every time: unpaid splits age into awkward debts, and nobody remembers who ordered what by month-end.

The comparison trap

You see your colleagues' phones and holidays; you do not see their EMIs, credit card bills, or parents' payments. The raise a cousin brags about is a CTC number, and Chapter 2 taught you how much of a CTC number is real. Comparison is a tax on information you don't have. If a particular feed reliably makes you spend, mute it for a quarter and notice what happens to your wants budget.

Weddings, festivals and the gifting season

December, Diwali and the wedding circuit are not emergencies; they are calendar events. A sinking-fund line of one to two thousand rupees a month from your very first payday absorbs gifts, travel and outfits without debt arriving in January. Budget the season in advance, and the season stops being a surprise.

If the year goes wrong anyway

A layoff, a pay cut or a family health event is exactly why this book's order of operations exists. The emergency fund bridges months, not lifestyle. The personal health policy stays with you when the employer's does not. The PF balance remains yours, transferable to the next job. The SIP can be paused for a season without penalty; the emergency fund is rebuilt first, the day regular income returns. Systems built on purpose survive bad years; budgets built on vibes do not.

The one-line policy

Money decisions made once, in private, on a schedule survive every social situation. Decisions made in the moment, in public, do not.

CHAPTER 20

Twelve Mistakes Every First-Jobber Makes

Rank-ordered by how quietly they damage you. The first five cost more than all the others combined.

- 1 **Not starting a SIP because the amount feels too small.** Rs. 1,000 a month at 23 beats Rs. 10,000 a month at 35 on most ending balances. The habit is the asset.
- 2 **Paying only the credit card minimum.** Chapter 17. A Rs. 40,000 balance at 42 percent becomes a multi-year project.
- 3 **Lifestyle inflation at the first appraisal.** The rule that survives every salary: at least half of every raise is auto-routed to SIP or PPF before it ever reaches your spending account.
- 4 **Buying ULIPs and endowment policies because an uncle recommended them.** Insurance and investing are separate purchases; mixing them gives you the worst of both at the highest cost.
- 5 **Delaying term and health insurance.** The premium at 25 is the lowest it will ever be, and a health condition discovered later can make you uninsurable exactly when you need cover.
- 6 **Withdrawing PF between jobs.** The transfer takes a month; the withdrawal costs you decades of 8.25 percent compounding and creates a tax event.
- 7 **Saving whatever is left at month-end.** Reverse it: invest on payday +1, spend what remains. Money without a job acquires one.
- 8 **Emergency fund parked in equity.** The market's worst year and your worst year are not polite enough to take turns.
- 9 **Buying a car or bike on EMI in year one.** A depreciating asset on an appreciating loan is the most expensive status symbol at your income.
- 10 **Lending money you cannot afford to lose.** Especially on salary-day promises. Budget the loss in advance or decline kindly.
- 11 **Not filing the ITR at zero tax.** The return is your income history: visas, loans and future credit all read it.
- 12 **Waiting to feel ready.** Every system in this book takes under two hours to set up in total. Readiness is a result, not a prerequisite.

CHAPTER 21

Your First Raise and Your First Job Switch

Two money events with rules of their own. Both reward the same quality: moving slowly while everyone around you hurries.

The raise

A raise is not a reason to upgrade your life; it is a chance to upgrade your defaults. The **50 percent rule**: the day the new salary is credited, half of every incremental rupee is auto-routed, SIP step-up, PPF increase, emergency-fund top-up, before your lifestyle ever learns it happened. On a Rs. 8,000 monthly raise, that is Rs. 4,000 into investments you will not miss, because you never touched it. Re-read your revised CTC structure with the same arithmetic you used on the offer letter in Chapter 2: raises are where companies quietly rebalance basic and allowances.

The switch

Job switches are where first salaries leak the most money, because everything happens at once and insurance lapses are invisible until claimed. Work this checklist across your notice period, in order:

- 1 **PF transfer, not withdrawal.** File the online transfer to your UAN the week you join the new employer (Chapter 10).
- 2 **Health cover for the gap.** Your old employer's group policy ends on your last working day; the new one starts after joining. A short standalone policy for the weeks in between costs little and is the difference between a covered and an uncovered emergency. Chapter 11's personal policy makes this a non-event.
- 3 **Collect Form 16 and salary slips** from the old employer before your last day, and give the new one your earlier income so TDS stays accurate across both.
- 4 **Re-decide the tax regime** at the new salary: the Chapter 8 arithmetic that was obvious at one income can flip at another.
- 5 **Hold a cash buffer equal to two months' needs** before resigning. Notice periods and salary-cycle gaps are survivable on schedule; they are ruinous on empty.
- 6 **Move the SIP date** if your new payday moves. The system only works while it stays connected to salary day.

One caution on joining bonuses and notice-period buyouts: read the clawback and bond clauses twice, and never resign into a financial obligation you cannot pay out of savings if the new offer collapses.

CHAPTER 22

Your First Year, Month by Month

One page, twelve lines. Tick them in order; by your first anniversary, every money system you need will be running.

Month	Do this
1	Finish the 72-hour checklist. Budget take-home with 50-30-20. Do nothing else yet.
2	Start the emergency fund: an auto-transfer of 10-15% of take-home to a separate sweep account.
3	Buy term insurance (if dependents) and a personal health policy. Compare 4-5 quotes online.
4	Start the first SIP: one Nifty 50 index fund, direct plan, salary-day +1. Even Rs. 500-2,000.
5	Set the credit card to full-balance autopay, or hold off on owning one at all.
6	Mid-year review: check EPF passbook, confirm UAN, scan the AIS on the tax portal.
7	Open PPF if you are saving for anything 7+ years out. Small monthly amount is fine.
8	Rebuild the budget after any rent or lifestyle change. Keep needs under 60% or adjust the plan.
9	Raise the SIP by 10%, or set an annual step-up instruction with the fund house.
10	Read your salary revision letter's CTC maths before signing. Check basic, PF ceiling, allowances.
11	Pre-file preparation: collect Form 16, interest certificates, rent receipts, investment proofs.
12	File the ITR early in July. Then take the cheat sheet in Chapter 23, and start year two: deepen, don't widen.

The 50-30-20 frame, adapted for Indian metros where rent can eat 40 percent of a first salary, bends to 60-20-20 for the first year: needs, savings, wants. It is a starting frame, not scripture; it exists so that savings happen on purpose rather than by accident.

CHAPTER 23

The One-Page Cheat Sheet

Every number in this book, on one page. Screenshot it.

What	Number	As of
New regime: zero tax up to (gross salary)	Rs. 12.75 lakh	FY 2026-27
Standard deduction (new regime)	Rs. 75,000	FY 2026-27
Rebate wiping tax below Rs. 12 lakh taxable	Up to Rs. 60,000	Sec 156, new Act
Health & education cess	4% on tax	FY 2026-27
EPF interest rate	8.25%	FY 2025-26
EPF contribution (each side)	12% of basic + DA	Statutory
PPF rate	7.1%	Jul-Sep 2026 quarter
SSY rate	8.2%	Jul-Sep 2026 quarter
NSC rate	7.7%	Jul-Sep 2026 quarter

What	Number	As of
Term cover target	10-15x annual income	Rule of thumb
Term cover at 25, non-smoker	~Rs. 7,000-9,500/year for Rs. 1 crore	2026 market quotes
GST on individual life & health insurance	0% (was 18%)	Since 22 Sep 2025
Emergency fund target	3-6 months of needs	Framework
Equity LTCG	12.5% above Rs. 1.25 lakh/year	Current law
Credit card revolving interest	Commonly 30-48% a year	Never revolve
Raise rule	50% of every hike auto-invested	Discipline

CHAPTER 24

Your Worksheets

Five templates to fill in. Print them, copy them into a notes app, or rebuild them in a spreadsheet; the filling-in is the value.

1. Monthly budget planner

Line	Planned (Rs.)	Actual (Rs.)
Rent + utilities		
Food + groceries		
Commute		
Phone + internet		
Family / home transfer		
Insurance premiums (monthly share)		
Wants total		
Savings + investments		
Salary credited		

2. Insurance quote comparison

Insurer	Annual premium (Rs.)	Cover	Term / tenure	Claim settlement ratio

3. SIP step-up plan

Year	Monthly SIP (Rs.)	Raise committed to
1		
2		
3		
4		
5		

4. Job-switch money checklist

Done	Item
☐	PF transfer filed to UAN (not withdrawal)
☐	Form 16 and payslips collected from old employer
☐	New employer told my earlier income for TDS
☐	Health cover arranged for the notice-period gap
☐	Tax regime re-decided at the new salary
☐	SIP date moved to the new salary-day +1
☐	Two months' needs held in cash buffer

5. Starter net worth, updated quarterly

Assets	Rs.	Liabilities	Rs.
Bank balances		Credit card dues (if any)	
Emergency fund		Personal loans	
EPF balance (passbook)		Borrowed from friends/family	
Mutual funds		Any other EMI outstanding	
PPF		Total liabilities	
Total assets		NET WORTH (assets minus liabilities)	

REFERENCE

Glossary: Thirty Terms, Plainly

Term	What it means
CTC	Cost to company: everything your employer spends on you, cash and non-cash.
Gross salary	Your earnings before any deductions.
Net pay / take-home	What actually reaches your bank after PF, tax and other deductions.
Basic salary	The core component; PF and gratuity are calculated on it.
HRA	House Rent Allowance; tax-exempt under the old regime against actual rent, within limits.
TDS	Tax Deducted at Source: tax collected from each payment before it reaches you.
PAN	Permanent Account Number: your tax identity. Link it to Aadhaar.
Form 12BB	The declaration of investments you give your employer so TDS is calculated.
Form 16	Annual certificate of salary and TDS, issued by mid-June. The basis of your return.
ITR-1 (SAHAJ)	The income tax return form for salaried individuals up to Rs. 50 lakh income.
AIS	Annual Information Statement: the tax department's record of your interest, dividends, trades.
UAN	Universal Account Number: your permanent PF identity across all employers.
EPF	Employees' Provident Fund: mandatory retirement savings, 12% + 12% of basic + DA.
EPS	Employees' Pension Scheme: the pension slice of the employer's PF contribution.
EDLI	Employees' Deposit-Linked Insurance: automatic life cover that comes with EPF.
VPF	Voluntary PF: contributing above 12% at the same declared rate.
PPF	Public Provident Fund: 15-year government scheme, 7.1%, tax-free on every leg.
NPS	National Pension System: retirement product, locked to 60, partial annuity at exit.
SIP	Systematic Investment Plan: a monthly standing instruction to buy a mutual fund.
Index fund	A fund that passively holds every stock in an index like the Nifty 50.
Direct plan	The mutual fund share class without distributor commission. The cheaper one.
NAV	Net Asset Value: the per-unit price of a mutual fund.
Liquid fund	A mutual fund holding very short-term debt; parking spot for emergency money.
Auto-sweep FD	Bank feature that auto-converts idle balance into FDs for better interest.
LTCG / STCG	Long- / short-term capital gains: the tax on your investment profits.
Cess	A surcharge on tax; currently 4% for health and education.
Rebate (Sec 156)	The refund-like write-off that zeroes tax below Rs. 12 lakh taxable income.

Term	What it means
Marginal relief	The rule capping your tax just above the Rs. 12 lakh cliff.
Term insurance	Pure life cover that pays a fixed sum on death, nothing else, hence cheap.
Family floater	One health policy covering the whole family under a shared sum insured.
Copay / waiting period	Your share of a health claim, and the time before a condition is covered.

QUICK ANSWERS

Ten Questions Every Buyer Asks

I earn too little to save. Is this book still for me?

Yes, doubly. Every system here starts with amounts between Rs. 500 and Rs. 3,000. At small incomes the order of operations matters more, not less, because mistakes that a large salary absorbs quietly are loud at a small one.

My salary is under Rs. 12.75 lakh. Do I really pay zero tax?

Under the default new regime, yes: the Rs. 75,000 standard deduction plus the rebate wipes slab tax up to that gross salary. You still file an ITR in July, because the filing is what proves the zero.

Should I just ask my parents' insurance agent?

For term and health insurance, buy online after comparing quotes and IRDAI claim ratios. Agents add cost to exactly the products where the online process is simplest.

EPF or PPF, if I can only do one?

You do not choose EPF; it chooses you, it is statutory. PPF is the voluntary add-on for medium-term goals. They are teammates, not rivals.

Is gold or crypto worth it as a first investment?

This book covers the boring core that every portfolio is built on. Speculative assets, if you ever buy them, come after the core exists, sized as money you can afford to lose.

What if my company deducts PF on only part of my salary?

Statutory PF applies to basic + DA, and there are wage ceilings in practice. Check your payslip against your basic; ask HR once, in writing. Chapter 10 tells you where to verify.

Can I invest before my emergency fund is complete?

A small SIP can start alongside, if it is genuinely small. The rule of thumb: complete the emergency fund before your SIP exceeds 10 percent of take-home.

Do I need a CA to file my taxes?

Not for a simple salary return. ITR-1 on the official portal is free and prefilled. A CA becomes worth it with freelance income, capital gains or a job switch mid-year.

How much should I send home every month?

There is no universal number. There is a universal method: decide it once, make it a fixed line in your budget as a need, automate it, and revisit only at appraisals.

What changes in year two?

Nothing new to buy; three things to deepen. The SIP step-up, a PPF increase, and an annual review of regime and insurance cover against the new salary.

SOURCES AND DISCLAIMER

Every number, checked

This book was researched in September 2026 from primary and official sources, including the following. Rates and rules change; the official portal always wins over any book, including this one.

- Income-tax slabs, standard deduction, rebate and regime rules: Income Tax Department, incometax.gov.in, for tax year 2026-27; Income-tax Act, 2025 (Act 30 of 2025), effective 1 April 2026.
- EPF interest of 8.25% for FY 2025-26: Press Information Bureau release, 2 March 2026 (CBT recommendation); Ministry of Finance ratification reported June 2026; EPFO notification 1 July 2026.
- Small savings rates (PPF 7.1%, SSY 8.2%, NSC 7.7%) for July-September 2026: Ministry of Finance, Department of Economic Affairs notification of 30 June 2026, ninth consecutive unchanged quarter.
- GST exemption on individual life and health insurance from 22 September 2025: GST Council 56th meeting press release, 3 September 2025; Department of Financial Services, Ministry of Finance, public FAQ.
- Credit card conduct rules, APR disclosure, minimum-due and past-due provisions: Reserve Bank of India (Commercial Banks - Credit Cards and Debit Cards: Issuance and Conduct) Directions, 2025, 28 November 2025.
- Term insurance premium ranges: indicative 2026 quotes from published insurer illustrations and public comparison data; verify with insurers before purchase.
- Gen Z financial security statistic: Deloitte Global Gen Z and Millennial Survey 2025.
- Cyber fraud reporting: Government of India cybercrime portal and 1930 helpline, official channels.
- SIP and compounding tables: arithmetic illustrations at an assumed 12% annual return; illustrations, not forecasts.

This book is educational material, not investment, tax or insurance advice. Scheme rules, interest rates and tax provisions change with budgets, notifications and market conditions. Verify current figures on the relevant official portal, and for decisions beyond this book's scope, a fee-only financial advisor or chartered accountant is worth the fee.

THE FIRST SALARY PLAYBOOK

A Digitalaikart original. Premium Indian digital products.